

High-Growth, High-Return Franchise

Titan has compounded consolidated revenue at 32% over FY22–FY26, with its Jewellery business growing at 30% CAGR and generating a 56% ROCE in FY26. The company is positioned to benefit from India's shift from unorganized to organized consumption, supported by increasing formalization, branded retail penetration and premiumization of discretionary spending. This gives Titan a long structural runway, with its dominant Jewellery franchise providing the primary engine of growth.

Revenue Is Growing Faster Than Earnings

From FY22–FY26, EBITDA and net profit grew at a slower 25% and 23%, respectively. Gross margin declined from 19% to 16%, while net profit margin fell from its 8% FY23 peak to 5.8% in FY26. Although FY26 showed earnings recovery, profitability remains below historical highs, making margin growth a key requirement for further earnings outperformance.

Growth Is Becoming Increasingly Capital Intensive

Inventory has increased 3.1x from FY22 to FY26, while inventory days rose from 164 days in FY24 to 212 days in FY26. Higher gold prices and Jewellery expansion explain a significant part of this increase, but the resulting working-capital intensity remains material, with inventory accounting for 70% of total assets in FY26 and contributing to persistent negative operating cash flow despite positive reported earnings. This has coincided with a more leveraged balance sheet, with borrowings rising from 34% of total assets in FY22 to 51% by FY26. While debt-servicing capacity remains adequate, interest coverage has fallen materially from historical levels, increasing Titan's sensitivity to funding costs.

Jewellery Drives Scale While Watches Delivers Superior Profitability

Titan’s Jewellery business remains the core value engine, combining dominant scale with high capital efficiency despite margin compression. FY26 Jewellery revenue growth outpaced both gold volume and price growth, indicating that the acceleration was not solely gold-price driven. Watches, while a small contributor to revenue, has the highest EBIT margin, making it Titan’s most profitable operational unit and potentially a high-margin buffer during periods of elevated gold prices. CaratLane is emerging as a new high-growth engine, having transitioned from an operating cash drain to positive EBIT and attractive capital returns. The key question is whether Titan can continue deploying capital into high-return Jewellery and Watches while incubating newer businesses without diluting group-level returns.

Headline ROE Masks a Shift Toward Leverage-Driven Returns

Titan’s ROE has reached 37% in FY26, but DuPont analysis reveals that the improvement is increasingly leverage-driven rather than a result of materially stronger asset productivity. Asset turnover has improved from 1.53x in FY22 to 1.73x in FY26, showing that Titan is generating more revenue from its expanding asset base, however, the improvement has been modest relative to the scale of asset growth. As a result, ROA remains below its FY23 peak at 10% in FY26. Meanwhile, financial leverage has increased sharply from 2.24x to 3.70x, amplifying returns to equity holders even as the underlying return generated on the asset base and net profit has weakened.

Titan's Quality Commands a Premium But Leaves Little Upside

My base-case valuation of 5,088 reflects a business capable of sustaining strong growth while recovering margins toward historical levels. However, the resulting value remains below the current market price, indicating that Titan’s premium valuation already captures a meaningful portion of the expected earnings recovery. The DCF exit-multiple valuation of 4,211 provides a more conservative anchor, suggesting that the current price leaves limited support from intrinsic value even when a premium 40x terminal multiple is applied. Trading comps are substantially lower, highlighting the significant premium the market assigns to Titan relative to peers and reinforcing the valuation risk if its superior growth and return profile fails to justify that premium.

Current Price Offers Little Margin for Error

The scenario analysis highlights limited valuation cushion at the current price. The base case is broadly reflected in the market, while the bull case requires simultaneous delivery on growth, margin expansion and multiple support. Conversely, a deterioration across these variables creates substantial downside. With a 1:1.02 risk/reward ratio and a probability-weighted expected return of -0.54%, the current price does not adequately compensate for the range of outcomes. However, the underlying franchise remains fundamentally strong: FY26 revenue growth rebounded to 44.9%, Jewellery continues to generate a 56.6% ROCE, and group ROCE remains positive at 16.3%, supporting a HOLD rather than a negative fundamental view. A more attractive entry point would emerge if Titan sustains its growth trajectory while restoring margins toward 10%+ EBITDA, improving inventory efficiency and converting earnings into positive operating cash flow.

The Treasury Strategy behind Titan's Inventory-Heavy Growth

Titan uses a mix of Gold Metal Loans (GMLs), Commercial Paper and short-term working-capital loans to finance inventory, seasonal stocking and store expansion. The financing is paired with a structured gold-hedging framework. For gold sourced through GMLs, the quantity is fixed when procured while the liability is determined when the gold is utilised, typically alongside customer sales, thus creating a natural hedge. For spot market purchases, Titan hedges anticipated sales using commodity futures. Titan states that its bullion policy maintains the exposure fully hedged, substantially mitigating outright gold-price risk. However, fully hedged does not mean risk free. Titan remains exposed to financing costs, hedge/timing mismatches and the sheer working-capital burden of carrying 200+ days of inventory. Thus, the treasury structure effectively controls commodity-price risk, but rising inventory still increases dependence on external financing and can pressure cash conversion.

	2022	2023	2024	2025	2026
Revenue	28,799.00	40,575.00	51,084.00	60,456.00	87,584.00
Revenue growth	33.1%	40.9%	25.9%	18.3%	44.9%
ROCE	17.8%	20.9%	18.9%	15.4%	16.3%
Self sustained growth rate	16.5%	20.1%	26.8%	20.3%	23.8%

	2022	2023	2024	2025	2026
Gross Margin	19.4%	20.4%	18.4%	17.3%	16.1%
SG&A/Sales	7.7%	8.4%	8.1%	7.8%	6.6%
EBITDA Margin	11.6%	12.0%	10.4%	9.4%	9.5%
Net Margin	7.6%	8.1%	6.8%	5.5%	5.8%

	2022	2023	2024	2025	2026
Debtor Days	7	6	7	6	4
Payable Days	16	11	10	12	12
Inventory Days	214	187	167	206	212
Cash conversion cycle	205	183	164	200	204
CFO/Sales	-17.8%	-2.3%	-1.7%	-13.6%	-3.2%
Interest Coverage	13.51x	14.80x	7.61x	5.25x	6.38x

Segment	FY26 Revenue Mix	FY22–26 Revenue CAGR	FY26 EBIT Margin	FY26 ROCE
Watches	6.0%	22.7%	16.1%	26.9%
Jewellery	81.2%	30.8%	9.3%	56.6%
EyeCare	1.0%	15.1%	9.3%	31.7%
Others	0.6%	34.8%	-22.4%	-42.2%
Caratlane & other subs	10.8%	63.1%	3.0%	12.2%

Dupont Analysis	2022	2023	2024	2025	2026
Net Profit Margin	7.6%	8.1%	6.8%	5.5%	5.8%
Asset Turnover Ratio	1.5x	1.7x	1.7x	1.7x	1.7x
Return on Assets	11.7%	13.6%	11.9%	9.2%	10.0%
Financial Leverage	2.2x	2.3x	2.8x	3.4x	3.7x
Return on Equity	26.2%	31.0%	32.9%	31.8%	37.1%

	2026A	2027E	2028E
Revenue	87,584.00	1,00,721.60	1,15,829.84
EBITDA	8,357.00	10,072.16	11,582.98
Net Profit	5,073.00	6,043.30	6,949.79
EPS	57.14	68.07	78.28

Valuation	Implied Value	Assumptions
P/E Valuation	5,088.27	65x Forward P/E
DCF - Exit Multiple	4,211.48	40x Exit EV/EBITDA
Trading Comps - P/E	2,376.35	Peer Median
Trading Comps - EV/EBITDA	2,345.38	Peer Median

Scenario	Target Price	2028E EPS	Implied Upside/Downside %
Bear	2005.58	36.47	-61.20%
Base	5088.27	78.28	-1.56%
Bull	8382.14	111.76	62.16%
Prob weighted	5141.06	76.20	-0.54%

Catalysts

> Earnings Recovery & Opex Efficiency
> CaratLane Scaling Profitably
> Watches Profitability
> Damas Integration & Global Growth
> Healthy Asset Utilisation

Risks

> High Jewellery Concentration
> Persistent Margin Compression
> Elevated Working-Capital Intensity
> Premium Valuation Limits Upside
> Rising Financial Leverage